Introduction to International Politics 1601

Liberalism: Economic Liberalism, Liberal Institutions and the Democratic Peace

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Liberalism (Liberal Theories of IR)

Liberalism -

- another material theory of International Politics
- *some* of our existing assumptions about the international system remain

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- another material theory of International Politics
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Which ones?

Remaining assumptions (Liberalism) -

- The international system is anarchic
- States are the primary actors
- States are rational actors

Changing assumptions (Liberalism):

- The international system is anarchic, **but these pressures can be mitigated to reduce the frequency of conflict and promote cooperation**
- States are the *primary* actors, but they are **not the same**
- States are focused on "gains"/ **absolute gains** as opposed to relative power

"with proper domestic structures, international institutions, and economic interchange among themselves, states can mitigate the effects of international anarchy, minimize the violence-prone tendencies of the international system, promote further cooperation and reduce the frequency of war" (Levy and Thompson 2010, 69).

Liberalism **opens the black box** -

- state types matter
- domestic politics influence foreign policy
- foreign policy has system level implications

[INSERT COUNTRY
NAME HERE]

We will consider the following features to explain/predict state-driven behavior -

- domestic structures,
- institutions, and
- economic engagement

As a result of their actions (cooperation), states are assume to be *more secure* in the international system (rejecting the "power politics" assumption of Realism).

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But not rationality.

- States are still considered to be **rational actors**
- "Rationality applies only to endeavor, not to outcome." (Gilpin 1987, 27)

Institutions

Institutions may include -

- domestic
- international

Focus: International Institutions (*domestic institutions* in the coming weeks)

International institutions -

- mitigate conflict
- provide incentives to cooperate
- reducing uncertainty in the international system
- Sum: international institutions may *address the problem of anarchy*

International institutions can be -

- *explicit* or
- *implicit*

Explicit institutions -

- define rules for mutual cooperation
- formalized through agreements
- Examples - World Trade Organization, International Monetary Fund, United Nations

Implicit institutions -

- include the unstated norms of behavior that influence states' policies
- states can be *socialized* in the international system
- Example - Respect for state sovereignty

Why do states comply with international institutions? (Think in contrast to our previous conversation about Realism.)

Compliance comes from -

- Gains from compliance provides primary incentives to cooperate
- States incur additional costs from noncompliance

Compliance continued -

- Formal institutions (explicit) - establish conditions that identify costs of noncompliance
- Informal institutions (implicit) - create further costs of noncompliance by specific actors

Economic Liberalism

Economic explanations -

- Trade and other forms of economic interdependence between states makes all states better off
- introducing *absolute gains*
- economic interdependence between states creates incentives to cooperate (or, *mutual dependence*)

"Liberals are more interested in the size of the pie, while realists are more interested in who has the larger slice." (Levy and Thompson 2010, 73).

The *commercial peace* or "capitalist peace" -

- established through states' mutual benefit from trade and financial relationships
- Economic interdependence similarly makes **conflict (war) more costly** by interfering with the gains achieved through cooperation, further discouraging conflict between states who depend on each other

Recall: Signaling -

- States signal their intentions to provide greater certainty about their actions
- Signals need to be credible to be believed

How does signaling apply in this framework?

How does signaling apply in this framework?

- Economic interdependence provides states with a signaling mechanism
- The stakes of conflict (i.e., disrupting trade) provide credibility
- "Bluffing" is costly (but signals may be used to signal escalation)

Economic liberalism is a response to *economic nationalism*, or policies which favor states' economic independence from other states and incentives behaviors that mirror Realist expectations for states' relationships in the international system.

States pursing protectionist policies - or policies that close states off from trade and other forms of economic interdependence to support domestic business - create opportunities for conflict that interdependence eliminates.

Marxism in International Politics suggests that capitalism and market-based interdependence drives conflict.

Additional actors -

- Economic interdependence also incorporates non-state actors, including *market actors* (e.g., businesses, interest groups), *domestic publics*, and *international organizations* (e.g., WTO)
- Non-state actors benefiting from states' economic relationships may influence states' policies toward cooperation and conflict (our focus for now: recalling the role of *domestic institutions*)

The European Union

The EU -

- developed from European integration efforts that following the end of WWII
- est. w/ Maastracht Treaty (signed 1992/effective 1993)

A (Brief) Chronology -

- 1950s - Est. of European Coal and Steel Community (ECSC), European Economic Community (EEC) and European Atomic Energy Community (Euratom; later merging with ECSC)
- 1970s - EEC begins to expand from initial pool of states, Elections of European Parliament (EP, direct elections)
- 1980s - EEC expansion continues, Est. of common border-crossing laws, Est. of European Community (EC) and expansion of EP powers
- 1990s - Maastricht Treaty est. European Union (EU), EU adopts single currency (some states)
- 2000s - EU begins expansion to Eastern European states (2013 last state to join, Croatia), new governing positions, governance maintaining through 2010s

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This means that the EU may hold certain *authorities over member states* (e.g., country and EU citizenship).

Is the European Union a Success or a Failed Experiment in Institutions?

A Story of Success

A Story of Success?

A Story of Success?

Let's explore.

Recall: Institutions -

- Work to promote *cooperation* between states
- May be *explicit* - e.g., the EU
- May be *implicit*

Applied to the EU -

- Seeking membership within the EU encourages standards of behavior consistent with the organization
- Member states and states seeking membership signal their intentions by participating in the process

Explicit institutions -

- function by *setting the rules of the game* for participating members
- encourage cooperation by *lowering costs of cooperation* and *increasing the costs of conflict* (namely through express punishments for violation of an agreement)
- Examples (EU) - (1)shared currency, (2) conditions of cooperation

Example (1): A shared currency -

- the Euro
- facilitates the mobility of goods and services between member states creates generates greater trade between states

Example (2): Conditions of Cooperation -

- participating members are obliged to obey the laws and standards of EU institutions (e.g., liberal democracies with functioning market economies)
- violations incur punishments

Implicit institutions -

- are the standards of behavior (norms) cooperating states agree to ("implicitly")
- may be socialized or pursued out of states' interest (rationality assumption)
- governance espoused by EU member states and their Euro-based policy behaviors
- Examples (EU) - (3) Motivating Behavior

Implicit Institutions -

Example (3): Motivating Behavior

Member-aspiring states may seek to alter their domestic institutions to align with the standards of EU countries. Non-members may behave in the same way to facilitate policy agreements and trade with EU members.

Anarchy and Institutions

Can international institutions such as the European Union *replace anarchy* in the international system?

An Argument for Failure

An Argument for Failure: A **Realist critique** of institutions

Recall: Realism -

- emphasizes the role of *power politics*
- states as "black boxes" (sameness in interests and behavior)

A Realist Critique of Institutions -

- **Power politics remain** in institutions
- Institutions may provide an additional avenue through which major powers assert their influence other states.

Results -

- 1. More powerful states may direct the institutions' rules and procedures to impose on weaker states outside the bounds of engagement.
- 2. States may violate existing agreements if enforcement mechanisms are fragile
- 3. Cooperation mechanisms may create problems which previously did not exist or may not exist when states act on their own

Example (1): Addressing Immigration to the EU (EU-Turkey Deal 2016) -

- Agreements made between Turkey and EU member states pushed forward by stronger states
- States do not experience the impact of immigration similarly based on geographical proximity
- Benefits and costs of agreements experienced unequally

Example (2): Brexit -

- The United Kingdom voted (through a *referendum* in 2017) to withdraw from the EU
- formally came into effect at the end of January 2020
- UK defection demonstrates weakness of enforcement for explicit institutions
- UK norms demonstrate strength of implicit institutions (*Democratic Peace*?)

Can defection *only* be explained Realism?

Can defection *only* be explained Realism?

Certainly not.

A Liberal perspective -

- Institutions may fail as a result of domestic politics (next lecture)
- domestic politics influence states' foreign policy (i.e., system level outcomes)

Example (2): Poland and Hungary -

- Issues of jurisdiction in Poland and Hungary and additional EU-member states regarding enforcement over rule-of-law standards (e.g., judicial processing, freedom of press), challenging the democracy standards of the institution
- Introduces *costs of non-compliance* - (Partial) refusal of COVID-19 funds

Example (3): Greek debt crisis.

- The financial events occurring in one state (i.e., debt crisis in Greece 2007-2008) impact the economic and foreign policies of other member states

Sum -

- Defection from institutions have significant implications for *power politics*, *cultural/social dynamics* (esp. Brexit/Northern Ireland), and *gains from (disrupted) trade*.
- Institutions may have limited effects if states have greater incentives to **defect** (UK) or to *bend the rules* (Poland/Hungary) for those who do not

The Democratic Peace

What is *the Democratic Peace*, and *Democratic Peace Theory*?

The **Democratic Peace**

- "as close as anything we have to an empirical law in international relations." (Levy 1988, 662 - "Domestic Politics and War")

Peace -

- We define peace as the *absence of war*.

The **Democratic Peace** -

- the observation that democracies *rarely if ever* go to war with each other
- an absence of war *between* democracies

Democratic Peace Theory/Theories -

- seek to explain the observation that democracies rarely if every fight wars against one another
- *monadic* v. *dyadic*

Monadic explanations -

- suggest that democracies are less war-prone than other types of states

Dyadic explanations -

- focus on the dynamics *between* democracies
- "it takes two to tango"

The Democratic Peace -

- develops from Kant's vision of a *republican peace* (which mirrors liberal democracies in the present system)
- explanations focus on the **norms** and **structures** of democracies

Democratic *norms* -

- democracies share norms of peaceful conflict resolution
- *democratic publics* may be less tolerant of their governments engaging in conflict
- democracies cannot initiate conflict without the consent of the public audience

Democratic *structures* -

- or, the **institutional constraints model**
- democratic institutions slow down conflict processes or prevent democracies from initiating conflicts with other democracies
- example - Audience Costs Theory (ACT)

Are there limits to the Democratic Peace?

Are there limits to the Democratic Peace?

Of course.

The Democratic Peace **does not apply** to -

- non-democracy-democracy dyads
- democratizing states

Next lecture: Levels of Analysis I: Domestic, Bureaucratic, and Organizational Politics. Looking inside the "Black Box"